



MOCK TEST: LIBERALISATION, PRIVATISATION & GLOBALISATION (LPG)

Class 12 – Indian Economic Development (NCERT Chapter 3)

PREPARED BY THUNDERSTUDY ✨

SECTION A – MULTIPLE CHOICE QUESTIONS (30 × 1 = 30 Marks)

1. Immediate trigger for 1991 reforms:

(A) FDI Rise (B) Balance of Payments Crisis (C) GST implementation (D) WTO Launch

2. Liberalisation refers to:

(A) More Govt control (B) Removing restrictions on private sector (C) Nationalisation (D) Price controls

3. Purpose of 'Disinvestment':

(A) Buying private firms (B) Selling Govt equity in PSUs (C) Closing all PSUs (D) Raising employee wages

4. GATT was replaced by WTO in:

(A) 1991 (B) 1995 (C) 2000 (D) 1948

5. Number of industries reserved for public sector at present (approx):

(A) 17 (B) 8 (C) 2 (D) 0

6. Devaluation of rupee in 1991 aimed at:

(A) Reducing exports (B) Increasing imports (C) Increasing exports (D) Fixed exchange rate

7. Which of the following is a 'Navratna' PSU?

(A) Railway (B) Post Office (C) SAIL/BHEL (D) Local Police

8. Outsourcing is a result of:

(A) Liberalisation (B) Globalisation (C) Privatisation (D) Isolation

9. Financial sector reforms were guided by:

(A) Karve Committee (B) Narasimham Committee (C) Planning Commission (D) RBI alone

10. Tax reforms in 1991 primarily aimed at:

- (A) Increasing tax rates (B) Reducing tax rates and simplifying process (C) Removing all taxes (D) Taxing only farmers

11. FDI limit in insurance was raised to 74% in:

- (A) 1991 (B) 2015 (C) 2021 (D) 2017

12. FDI stands for:

- (A) Foreign Direct Investment (B) Fixed Deposit India (C) Fast Direct Income (D) Foreign Debt Interest

13. Integration of domestic economy with world economy is:

- (A) Liberalisation (B) Globalisation (C) Privatisation (D) Modernisation

14. Bilateral trade takes place between:

- (A) Many countries (B) Two countries (C) Only within a country (D) Countries and UN

15. Inward looking trade strategy is also called:

- (A) Export promotion (B) Import substitution (C) Free trade (D) Laissez-faire

16. Maharatnas, Navratnas and Miniratnas are categories of:
(A) Private companies (B) Public Sector Enterprises (C) NGOs (D) Banks
17. Removing trade barriers like tariffs and quotas is part of:
(A) Fiscal reform (B) Trade and investment reform (C) Land reform (D) Human reform
18. India borrowed \$7 billion from:
(A) IBRD (World Bank) and IMF (B) USA (C) China (D) SEBI
19. Which sector was NOT directly helped by 1991 reforms as per critics?
(A) Services (B) Industry (C) Agriculture (D) IT
20. The 'L' in LPG stands for:
(A) Localisation (B) Liberalisation (C) Licensing (D) Liquidity
21. Sir Ratan Tata's company is an example of:
(A) PSU (B) Private Indian Multi-national (C) Govt Dept (D) Cooperative
22. Foreign Exchange Management Act (FEMA) replaced:
(A) MRTP (B) FERA (C) GATT (D) RBI Act
23. Privatisation can happen through:
(A) Withdrawal of govt from ownership (B) Outright sale of PSUs (C) Both A and B (D) None
24. Quantitative restrictions on imports were removed in:
(A) 1950 (B) 2001 (C) 1991 (D) 1980
25. GST was implemented in India in:
(A) 2014 (B) 2017 (C) 1991 (D) 2020
26. Direct Taxes are taxes on:
(A) Goods (B) Services (C) Income of individuals/firms (D) Import of petrol
27. Which of the following is an indirect tax?
(A) Income tax (B) GST (C) Wealth tax (D) Corporate tax
28. Main reason for BoP crisis 1991:
(A) High exports (B) High inflation and imports exceeding exports (C) Growth of PSUs (D) Low oil prices
29. Stabilisation measures are:
(A) Long term (B) Short term (C) Only for farmers (D) No term
30. Structural reforms are:
(A) Short term (B) Long term (C) Only for building houses (D) None

SECTION B – VERY SHORT ANSWER QUESTIONS (10 × 2 = 20 Marks)

31. What are 'Navratnas'?
32. Define Disinvestment.
33. What is Outsourcing?
34. Mention any two financial sector reforms.
35. What is the role of WTO?
36. Why did India devalue its currency in 1991?
37. Name two sectors still reserved for the Public Sector.
38. Define Globalisation.
39. What is a Bilateral Trade agreement?
40. Mention one negative impact of LPG on the agricultural sector.

SECTION C & D (SHORT & LONG ANSWERS)

41. Explain the background of 1991 economic reforms. (4M)
42. Discuss the main features of 'Trade and Investment Policy Reforms'. (4M)
43. Evaluate the positive and negative impacts of Globalisation on India. (6M)
44. Transition of Indian Economy from 'Licence Raj' to 'Liberalised Regime'. (6M)



ANSWER KEY (CHAPTER 3) - THUNDERSTUDY

1-B	2-B	3-B	4-B	5-C
6-C	7-C	8-B	9-B	10-B
11-C	12-A	13-B	14-B	15-B
16-B	17-B	18-A	19-C	20-B
21-B	22-B	23-C	24-B	25-B
26-C	27-B	28-B	29-B	30-B

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